

Employing in the United States

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant offer letters/contracts reflecting the applicable state's employment law
- **Monthly payroll** — salary payments in USD, itemised payslips and W-2 reporting
- **Tax withholding** — federal and state income tax withheld and remitted to the IRS and state authorities
- **FICA, FUTA & SUTA** — Social Security, Medicare and unemployment insurance contributions
- **Leave and termination management** — state-specific leave entitlements and at-will termination guidance

Employment Conditions

Contracts & Probation

The U.S. is an "at-will" employment jurisdiction in every state except Montana — either party may end the employment relationship at any time, for any lawful reason, without notice. Employment law is fragmented across federal law (FLSA, FMLA, Title VII), all 50 states, and often city/county ordinances, so the specific state of employment materially changes obligations.

Item	Detail	Legal Basis
At-will employment	Default in 49 states; Montana requires good cause after a probationary period	State common law
Probation period	No statutory requirement in most states; 90 days commonly used administratively	Employer discretion
Governing law layers	Federal (FLSA, FMLA, Title VII) + state law + local ordinances (increasingly significant in CA, NY, WA, IL)	Multiple

Working Hours & Overtime

The Fair Labor Standards Act (FLSA) sets the federal floor; several states impose stricter daily overtime rules (e.g. California requires daily overtime after 8 hours).

Rule	Detail	Authority
Standard overtime threshold	1.5× regular rate for hours beyond 40/week (non-exempt employees)	Fair Labor Standards Act
Exempt vs non-exempt	Salaried employees above the FLSA salary threshold performing exempt duties are excluded from overtime	FLSA, 29 CFR Part 541
Daily overtime (select states)	e.g. California requires 1.5× after 8 hrs/day, 2× after 12 hrs/day	State-specific (CA Labor Code)

Minimum Wage & Statutory On-Costs (2026)

The federal minimum wage has been unchanged since 2009 — in practice, the applicable rate is whichever is higher between federal, state and local minimums, and most professional salaries sit well above any of them.

Measure	Rate	Notes
Federal minimum wage	USD 7.25/hour	Unchanged since 2009; a floor only — most states set higher rates
State minimum wages	Commonly USD 12–17+/hour	19 states raised minimums on 1 January 2026; California, Washington and Colorado among the highest
FICA (Social Security)	6.2% employer, on wages up to USD 184,500	Wage base for 2026; matches employee contribution
FICA (Medicare)	1.45% employer, uncapped	No wage ceiling; employee pays an additional 0.9% above USD 200,000 (employer does not match this surtax)
FUTA (Federal Unemployment)	0.6% net (after state credit) on first USD 7,000	State Unemployment Insurance (SUTA) is separate and varies by state/experience rating

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Paid vacation/sick leave	No federal requirement; mandated in some states/cities (e.g. CA, WA, NY, IL, CO)	Employer, where mandated	Highly fragmented — confirm the specific state and city
Family & Medical Leave (FMLA)	Up to 12 weeks unpaid, job-protected	Unpaid federally; some states run their own paid family leave programs (CA, NY, NJ, WA, and others)	Requires 12 months' tenure and 1,250 hours worked; employer must have 50+ employees within 75 miles
Public holidays	No federal requirement for private employers to provide paid holidays	Employer discretion (10 federal holidays apply to federal employees only)	Most private employers voluntarily observe major federal holidays

★ HERO TIP

The biggest compliance risk in U.S. hiring isn't the federal floor — it's the patchwork of state and city laws layered on top (paid sick leave mandates, salary history bans, non-compete restrictions, pay transparency laws). A role based in California, New York or Illinois can carry materially different obligations from an identical role in Texas or Florida. Always confirm the specific state (and sometimes city) before finalising an offer.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
FICA Social Security (6.2%)	\$186.00	6.20%
FICA Medicare (1.45%)	\$43.50	1.45%
FUTA (net 0.6%, capped at \$7,000/year wage base)	\$3.50	0.12%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,833.00	~127.8%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. FUTA is calculated on only the first USD \$7,000 of annual wages, so its monthly-equivalent share shrinks quickly across the year. State Unemployment Insurance (SUTA) and workers' compensation vary significantly by state and are excluded — total U.S. employer on-costs typically run 22-30% above gross salary once these are included. Employee deductions (withheld separately) include FICA and federal + state income tax.

Federal Income Tax (2026, Single Filer)

Employees also owe state income tax in most states (a handful — including Texas, Florida and Washington — levy no state income tax on wages). The 2026 standard deduction for single filers is USD \$16,100.

Taxable Income (USD, single)	Rate
\$0 – \$12,400	10%
\$12,401 – \$50,400	12%
\$50,401 – \$105,700	22%
\$105,701 – \$201,775	24%
\$201,776 – \$256,225	32%
\$256,226 – \$640,600	35%
Above \$640,600	37%

Source: IRS Revenue Procedure 2025-32. Married-filing-jointly brackets are roughly double these thresholds.

Termination & Separation

At-Will Employment

Item	Detail	Key Rule
Notice period	None required by federal law; a small number of states/cities require advance notice for mass layoffs	WARN Act applies to mass layoffs/plant closures (100+ employees, 50+ affected)
WARN Act notice	60 days' advance written notice for qualifying mass layoffs or plant closures	Federal Worker Adjustment and Retraining Notification Act (several states have "mini-WARN" laws with lower thresholds)
Severance pay	Not required by federal or most state law — a matter of contract/policy	Employer discretion, unless a severance plan or contract promises it
Final pay timing	Varies by state — some require immediate payment on termination, others allow until the next regular payday	State-specific wage payment law

★ HERO TIP

At-will employment gives U.S. employers broad flexibility to terminate without notice or severance, but "at-will" is not "risk-free" — wrongful termination claims (discrimination, retaliation, breach of an implied contract) remain a real exposure, and final-pay timing rules vary sharply by state (some states impose penalties for late final paychecks). Always confirm the specific state's wage payment law before processing a U.S. exit.

Federal Holidays 2026

The U.S. has 11 federal holidays, which apply to federal government employees; private employers are not required to observe them, though most voluntarily follow the major dates below.

Date	Holiday	Type
1 January	New Year's Day	Federal
19 January	Martin Luther King Jr. Day	Federal
16 February	Washington's Birthday (Presidents' Day)	Federal
25 May	Memorial Day	Federal
19 June	Juneteenth National Independence Day	Federal
4 July (observed 3 July)	Independence Day	Federal (falls on a Saturday in 2026)
7 September	Labor Day	Federal
12 October	Columbus Day (Indigenous Peoples' Day in 17+ states/cities)	Federal
11 November	Veterans Day	Federal

26 November	Thanksgiving Day	Federal
25 December	Christmas Day	Federal

Good Friday is an official state holiday in 12 states (including CT, DE, IN, LA, NJ, NC and TX in part). Confirm state and company policy for any day beyond the federal list.

Ready to hire in the United States?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first United States employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).